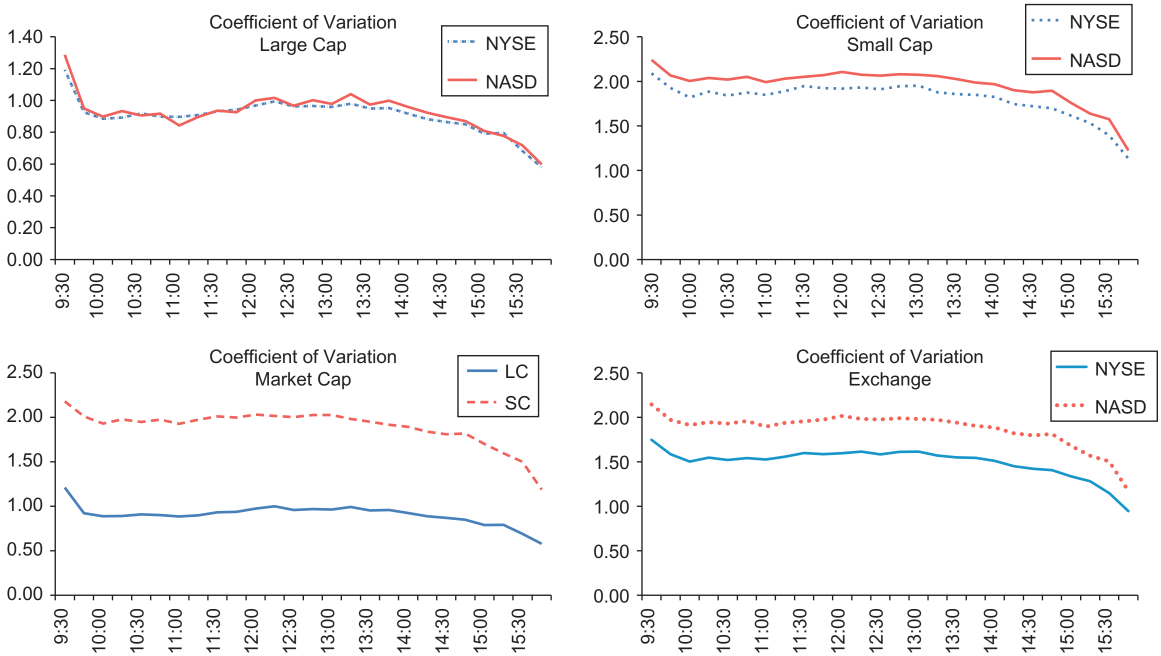

■ **Figure 2.7** Coefficient of Variation.

deviate from a prescribed strategy, change the algorithm, or adjust the algorithmic parameters and settings. The intraday coefficient of variation, when computed and used properly, will serve as a valuable liquidity risk measure and provide information that allows traders to improve overall performance. Additionally, as we show in later chapters, the coefficient of variation is a large determinant of stock specific trading cost and could be a valuable component of any market impact model (Figure 2.7).

Special Event Days

In the paper, "US Exchange Auction Trends: Recent Opening and Closing Auction Behavior, and the Implications on Order Management Strategies" (Kissell and Lie, 2011), the authors evaluated intraday trading profiles across exchanges, indexes, and market cap categories. The analysis found that trading behavior varied greatly on special event days including: FOMC, triple witching, company earnings, index changes, month and quarter end, day before and after holidays, and early closing days (Table 2.10).